

What is Diversification?

Diversification is when an existing company expands into a new business opportunity. It is a corporate strategy used to enter a new market segment or industry that the company has not operated in before. Companies diversify to increase market share and sales by offering new products in new industries beyond their core business.

Why Do Firms Diversify?

Companies choose diversification for several reasons:

- To achieve business growth
 - To use their existing resources and capabilities more effectively
 - To escape unattractive or declining industry environments
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Types of Diversification Strategies

1. Horizontal Diversification

The company introduces new products or services for its existing customers.

Example:

- A dairy company producing cheese adds a new type of cheese.
- **Apple** expanded from computers to iPod, iPhone, iPad, Apple Watch.
- **Samsung** moved from TVs to phones, appliances, and components.

Purpose: Leverage brand loyalty, distribution channels, and reduce reliance on one product.

2. Vertical Diversification

The company moves into an earlier or later stage of its production chain (backward or forward integration).

Example:

- A construction company begins selling building materials.
- A car manufacturer buys a tire company (backward) or opens its own dealerships (forward).
- **IKEA** bought forests and invested in renewable energy.
- **Ford** owned rubber plantations, steel mills, parts factories, and assembly lines.

Purpose: Reduce costs, improve supply chain efficiency, and control quality.

3. Concentric Diversification

The company introduces new products related to its existing technology or marketing system.

Example:

- A bakery making bread starts producing biscuits.
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4. Conglomerate Diversification

The company enters industries unrelated to its current business or distribution channels.

Examples:

- **General Electric (GE)** moved from electrical appliances into aviation, healthcare, and finance.
- **Samsung** diversified into construction, heavy industries, insurance, biopharmaceuticals.

Purpose: Reduce risk by not depending on one sector.

5. Geographic Diversification

The company spreads its operations or investments across different regions to reduce risk.

Example: Apple

Manufactures and sells in many countries (U.S., China, Vietnam, Korea).

Purpose: Reduce supply chain risks, currency risks, and reach global customers.

Advantages of Diversification

- Helps balance changes in the economy and customer spending habits
 - Protects the company from unexpected negative events in one sector
 - Improves use of underutilized resources
 - Allows movement away from declining industries
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Disadvantages of Diversification

- Profit potential is lower than focusing on a single profitable sector
- Requires new skills the company may not have
- Poorly managed diversification can overstretch resources
- A highly diversified company may react slower to market changes
- Innovation may be limited due to reduced operational focus